Sarosh: "*I know, but my cost price is Rs. 700 and at present the stock is Rs. 540.*"

Ketan: "*So what? Take the loss. The way the markets are treating such companies it may go down further.*"

Sarosh: "*Okay, I will sell. I will wait for the price to come back to my cost of purchase.*"

Ketan: "*How do you know it will happen? The industry and the company dynamics have changed, so the faster you sell the better.*"

Sarosh: "*Yes, I know that. But I am waiting for the stock to touch Rs. 700.*"

The problem here is that Sarosh is anchored to his purchase price and cannot see the reality. Hence he cannot take a rational decision.

Individuals start with an initial value and make value assessments based on that value. The initial value may reflect historical precedent, current information or random information. The bias reflects people's insufficient adjustment to their initial values. The problem is acute when the initial value is not properly grounded. When individuals are anchored they under react to any new information that is made available to them. This is how anchoring becomes dangerous.

A client had a portfolio of technology stocks valued at over Rs. 3 crore. His initial investment was around Rs. 80 lakhs. When he required money he came to me for advice. The year was 2000. I told him to liquidate as he was still making good money. He refused, saying he was making a loss. According to him the portfolio was worth around Rs. 4 crores just a few months ago and the current value was only Rs. 3 crores. He was anchored to prices that were not at all realistic. Till recently he hadn't sold the stocks because the prices had fallen below his cost of purchase. The anchor had moved to his purchase price.

Around mid-2003 the markets climbed with good corporate earnings coming in. The bear phase had ended. By the yardstick of dividend yield, price earning ratios and price to book the